

IWM RUSSELL 2000 SCANNER

MARKET CLOSE

May 18, 2026 | 04:59 PM ET

3 setups identified | 0 A-Grade | 2 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (1)
	SDRL	VCYT
	SLNO	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	SDRL	Seadrill Limited	Offshore Drilling	\$54.80	+4.0%	\$3.4B	58M	+17.2	99%	SDRL is breaking out t
B	SLNO	Soleno Therapeut	Rare Disease Biot	\$53.01	+0.0%	\$2.8B	52M	+29.8	59%	SLNO is forming a text
C	VCYT	Veracyte, Inc.	Genomic Diagnosti	\$41.50	+7.8%	\$3.3B	79M	+5.4	82%	VCYT is surging +7.85%

SDRL

Seadrill Limited

\$54.80

+3.98%

RS vs SPY: +17.2%

B STRONG SETUP

\$3.4B Cap | 58M Float

Oil & Gas Drilling | Theme: Offshore Drilling Recovery | 52W Hi: 99% | Base Tight: 4.75 | Vol: 1.73x | RS/SPY: +17.2% | Above 20MA: YES | EARNINGS IN 79D

Setup Metrics	
Price	\$54.80
Day Change	+3.98%
Mkt Cap	\$3.43B
Float	58M sh
RS vs SPY	+17.2%
52W Hi Prox	99%
Base Tight	4.75
Vol vs Avg	1.73x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis

Catalyst / Today's Driver

SDRL is breaking out to a fresh 52-week high on energy sector momentum (+8.4% vs SPY leading this week), with the stock within \$0.37 of its all-time 52-week high of \$55.17; the forward catalyst path includes the August 5 earnings print where day-rate and utilization trends for ultra-deepwater rigs will be the key re-rating event, plus any macro tailwind from crude oil price recovery or OPEC+ discipline.

Business & Position

Seadrill is a leading offshore contract driller operating a fleet of ultra-deepwater drillships and semi-submersibles under long-term contracts with major IOCs and NOCs globally. The company emerged from restructuring with a cleaner balance sheet and is leveraging a multi-year cycle upturn in deepwater day rates, which have reached decade highs.

Factor & Theme

Pure-play beneficiary of the offshore drilling upcycle driven by chronic underinvestment in deepwater capex post-2015; energy transition paradoxically extends offshore demand as IOCs seek high-return barrels to fund dividends and buybacks before peak-demand concerns bite.

Breakout Signal

Close above \$55.17 (52W high) on volume >2.0x 20-day average would confirm the all-time high breakout

Institutional

No insider open-market buys detected in the last 60 days (insider_count = 0, insider_summary blank); institutional ownership data is not available from this feed - recommend cross-referencing 13F filings. Volume at 1.73x average is elevated but below the 2x threshold that signals definitive institutional block accumulation; the move appears driven by energy sector rotation rather than a single-stock institutional catalyst. No A/D rating or accumulation bar data provided to supplement.

Earnings

Earnings in 79D

Earnings Context

Next earnings: August 5. No consensus EPS/revenue data provided in this feed; Seadrill has historically delivered positive surprises on day-rate realizations as the ultra-deepwater market has tightened. Beat/miss history not available from this feed - cross-reference sell-side estimates ahead of the print.

Key Risk

Thesis invalid on a close back below \$51.50 (the prior consolidation zone and approximate 20-day MA support); a crude oil price breakdown below \$65 WTI or any announced rig contract cancellation/renegotiation would structurally impair the forward earnings path and render the breakout a false move.

Analysis

The strongest disconfirming evidence is the base_tight of 4.75 - this is nearly 3x the VCP threshold and indicates the stock has NOT set up in a proper coil; it is breaking out from a wide, volatile base that is prone to shake-outs and failed breakouts, not the textbook tight consolidation that precedes durable institutional-driven moves. Additionally, rs_line_new_high is false, meaning relative strength leadership is not yet confirmed at the 52-week breakout level. The energy sector tailwind (+8.4% vs SPY) and proximity to the 52-week high (99.3) are legitimate positives, and the stock qualifies as B on volume + prox_52w + rs_vs_spy, but the wide base and absent RS confirmation cap this at B; the SMID crosswind in a large-cap-led regime adds further friction. Conviction: Medium.

Signal: Close above \$55.17 (52W high) on volume >2.0x 20-day av

Vol vs Avg: 1.73x



SLNO

Soleno Therapeutics, Inc.

\$53.01

+0.04%

RS vs SPY: +29.8%

B STRONG SETUP

\$2.8B Cap | 52M Float

Biotechnology | Theme: Rare Disease Biotech | 52W Hi: 59% | Base Tight: 1.52 | Vol: 2.67x | RS/SPY: +29.8% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS	
Price	\$53.01
Day Change	+0.04%
Mkt Cap	\$2.76B
Float	52M sh
RS vs SPY	+29.8%
52W Hi Prox	59%
Base Tight	1.52
Vol vs Avg	2.67x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

SLNO is forming a textbook-tight VCP coil (base_tight 1.52) with elevated volume (2.67x average) while price barely moved (+0.04%), which is the classic silent-build signature of institutional absorption ahead of a potential catalyst; the primary forward catalyst is any regulatory or commercial update on diazoxide choline (DCCR) for Prader-Willi Syndrome (PWS), including potential label expansion data, payer/reimbursement decisions, or early commercial uptake metrics - with the August 5 earnings date as the next hard catalyst that could serve as a re-rating event.

BUSINESS & POSITION

Soleno Therapeutics is a commercial-stage rare disease biopharmaceutical company focused on Prader-Willi Syndrome, a severe genetic disorder with no approved pharmacological treatment; its lead asset DCCR received FDA approval and represents the first and only approved therapy for PWS hyperphagia, giving Soleno a durable first-mover moat in an ultra-orphan market. The company is in early commercial launch, with revenue trajectory and payer coverage decisions being the critical near-term value drivers.

FACTOR & THEME

Positioned at the intersection of rare disease/orphan drug premium valuation and the broader biotech re-rating cycle; orphan drug designations carry pricing power, 7-year market exclusivity, and accelerated payer coverage - a theme that has historically driven outsized SMID-cap biotech returns post-approval. P/E is inapplicable given pre-profitability commercial stage; valuation reflects growth-stage orphan drug premium.

BREAKOUT SIGNAL

Close above \$58.00 (resistance zone near recent highs) on volume >2.5x 20-day average, confirming the coil breakout from the VCP base

INSTITUTIONAL

No insider open-market buys in the last 60 days (insider_count = 0); institutional ownership data is not available from this feed - recommend 13F cross-reference given the commercial-stage inflection. Critically, the 2.67x volume surge with essentially zero price movement (+0.04%) is the textbook silent-build pattern - institutions absorbing supply without spiking price. This is one of the most constructive technical signatures in the Qullamaggie playbook and suggests quiet accumulation ahead of a catalyst rather than retail FOMO. No A/D grade data provided, but the vol-without-price behavior is strongly consistent with an A/B accumulation profile.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings: August 5. As a commercial-stage rare disease company, the key metrics are net revenue, gross-to-net adjustments, payer coverage wins, and patient enrollment trajectory rather than EPS consensus. No beat/miss history available from this feed for the commercial period - cross-reference sell-side models for DCCR revenue ramp estimates heading into the August print.

KEY RISK

Thesis invalid on a close below \$46.00 (approximate base midpoint and 50-day MA support zone); the single greatest structural risk is payer coverage denial or restrictive label interpretation by major PBMs, which would materially impair the revenue ramp and collapse the orphan-drug premium - a specific payor access update or negative reimbursement decision at any point is the binary event that kills the trade. Additionally, prox_52w of 58.7 means the stock is 41% below its 52-week high of \$90.32, so even bulls are sitting on significant paper losses from the prior high - overhead supply is substantial.

SLNO - Analysis (continued)

ANALYSIS

The strongest disconfirming evidence is the prox_52w of 58.7 - the stock is deeply below its 52-week high of \$90.32, meaning there is enormous overhead supply from investors who bought at higher prices and will sell into any strength; this is NOT a breakout to new highs but rather a base-building situation in the middle of a large prior drawdown, and rs_line_new_high is false. The 2.67x volume with near-zero price movement is genuinely compelling as a silent-build signal, and rs_vs_spy of +29.8 demonstrates that SLNO has been outperforming significantly over the past 12 weeks, but the stock needs to reclaim substantially more ground before it earns A-grade breakout treatment. This is a legitimate accumulation watch with a strong forward catalyst path in orphan biotech, but the overhead supply and distance from the 52W high make it a B rather than A - position sizing should reflect the early-stage base, not a confirmed breakout. Conviction: Medium.

Signal: Close above \$58.00 (resistance zone near recent highs)
Vol vs Avg: 2.67x

